Q4 **NOW 2025** Q&A

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ServiceNow, Inc.

Q4 2025

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Operator

Conference Operator

Thank you for standing by. At this time, I would like to welcome everyone to the Q4 and full year 2025 ServiceNow earnings conference call. All lines have been placed on mute to prevent any background noise. After the speaker's remarks, there will be a question and answer session. If you would like to ask a question during this time, simply press star followed by the number one on your telephone keypad. If you would like to withdraw your question, simply press star one again. We do ask you limit yourself to one question for today's event. Thank you. I would now like to turn the call over to Darren Yip, Senior Vice President of Investor Relations and Market Insights. You may begin.

Darren Yip

Senior Vice President of Investor Relations and Market Insights

Good afternoon, and thank you for joining ServiceNow's fourth quarter 2025 earnings conference call. Joining me are Bill McDermott, our Chairman and Chief Executive Officer, Gina Mastantuno, our President and Chief Financial Officer, and Amit Zaveri, President, Chief Product Officer, and Chief Operating Officer. During today's call, we will review our fourth quarter 2025 results and discuss our guidance for the first quarter and full year 2026. Before we get started, we want to emphasize that the information discussed on this call, including our guidance, is based on information as of today and contains forward-looking statements that involve risks, uncertainties, and assumptions. We undertake no duty or obligation to update such statements as a result of new information or future events. Please refer to today's earnings press release and our SEC filings, including our most recent 10Q and 10K, for factors that may cause actual results to differ materially from our forward-looking statements. We'd also like to point out that we present non-GAAP measures in addition to and not as a substitute for financial measures calculated in accordance with

GAAP. Unless otherwise noted, all financial measures and related growth rates we discuss today are non-GAAP except for revenues, remaining performance obligations, or RPOs, current RPO, and cash and investments. To see the reconciliation between these non-gap-on-gap measures, please refer to today's earnings press release and investor presentation, which are both posted on our website at investors.servicenow.com. A replay of today's call will also be posted on our website.

Bill McDermott
Chairman and Chief Executive Officer

With that, I'll turn the call over to Bill. Thank you very much, Darren, and good afternoon to everyone joining today's call. As you might imagine, I've been waiting for this extraordinarily exciting moment since December 31st, 2025. There seems to be speculation everywhere these days, so let's take it all head on. Here are the facts. Our Q4 results beat expectations handily, just like we have consistently for years now. Overall, Q4 NNHCV growth accelerated both quarter over quarter and year over year in Q4. Our subscription revenue growth was 21%, 19.5% in constant currency, 1.5 points above the high end of our guidance. Contribution from MoveWorks was de minimis. Our CRPO growth was 25%, 21% in constant currency, 2 points above our guidance, including a 1% contribution from MoveWorks. operating margin was 31%, one point above our guidance. Full year 25, free cash flow margin was 35%, one point above our already raised guidance. We had 244 deals greater than a million in NNHCV. We had seven deals greater than 10 million in NNHCV. And CRM NNHCV growth accelerated quarter over quarter to close its largest quarter in history. Raptor DB Pro more than tripled NNACV year on year in Q4, including 13 1 million plus deals. Workflow Data Fabric was in 16 of our top 20 Q4 deals, and we've seen attach rates increase in every quarter of 2025. All of the workflow businesses were very strong in Q4. Gina will take you through the breakdown on all the metrics. The speculation of AI will eat software companies is out there. Let's clear it up with the facts. Enterprise AI will be the largest driver of return on the multi-trillion dollar super cycle of investment in AI infrastructure. The real payoff comes when trillions of tokens move beyond pilots to be embedded directly into the workflows where business decisions are made. ServiceNow is the gateway to this shift, serving as the semantic layer that makes AI ubiquitous in the enterprise. We are also the great consolidator. of hundreds of feature and function-specific software solutions into end-to-end business processes with our AI control tower for business reinvention. You need AI plus workflows because AI is probabilistic, which by definition means we can't be certain about the results. Workflow orchestration is deterministic. predictable, no randomness, which is required given the sophistication and governance of running global enterprises. AI doesn't replace enterprise orchestration. It depends on it. It depends on governance. It depends on scale. Many people ask why our valuation has not kept pace with our results. The short answer is that we have been viewed as a feature-oriented SaaS company. We are not living in a SaaS neighborhood. We are a platform company executing a long-term platform strategy where AI agents and workflows are harmonious and synonymous,

creating sustained advantage, not short-term wins. This makes ServiceNow's AI platform more strategically relevant today than ever. By the way, our monthly active users grew 25%. Now Assist and NACV outperformed expectations in Q4 and surpassed 600 million in ACV. In Q4, Now Assist and NACV more than doubled year over year. We had 35 deals over a million in Q4 alone. Our AI control tower deal volume nearly tripled quarter over quarter in Q4. We saw great brands already purchasing assist packs in Q4 across a variety of industries, including financial services, manufacturing, healthcare, life sciences, public sector, and technology. Overall, The number of workflows and the number of transactions each grew over 33% from $60 billion to $80 billion and from $4.8 trillion to $6.4 trillion, respectively. And the growth continues. I continue to hear speculation about seat compression. If all we did was look at available seats in our target market, there would be an estimated 1.3 billion seats in that target market. So we barely scratched the surface. And of course, we're looking far beyond seats alone with our hybrid business model for billions of devices, agents, and assists. On the back of this momentum, we're guiding to 20% subscription revenue growth for 2026. And by now, everyone knows how ServiceNow rolls We don't set our sights on hitting the guide. We set our sights on beating it. The speculation out there is that M&A is the new playbook out of necessity. Here are the facts. ServiceNow has the fastest organic growth in the history of enterprise software. We're the fastest enterprise software company to have ever reached 1 billion, 5 billion, and 10 billion organically. and on our way to cross 15 billion plus this year. Since 2019, we've nearly quadrupled our revenue, all built on a foundation of continuous innovation and net new product delivery. ServiceNow is fully capable of achieving previously stated subscription revenue and now assist ACV targets without M&A. Our capital allocation strategy is about accelerating customer value and shareholder value. We have never acquired a single company for revenue alone. We use M&A to expand into an even larger TAM. And it is now beyond $600 billion, based entirely on where our customers need us to go, where we know we can build exciting growth businesses. Our announced plans to acquire VESA anormous happened in rapid succession, because this assembles three critical layers for enterprises to operate securely in an agentic AI world, visibility, identity, and orchestration. With our fast growing billion plus dollar CACV security and risk business, the timing to expand the opportunity could not be better. Post-ARMIS, we do not see any other large white spaces that are necessary to complete our platform vision for security. ServiceNow's organic growth strategy with opportunistic tuck-ins for tech and talent remains unchanged. AI, data, workflows, security. We are one of the few companies totally in control of our own destiny. We are playing offense on our tippy-toes. That's why we're announcing an incremental 5 billion US dollar share repurchase authorization with an immediate ASR of 2 billion. Here's another fact. ServiceNow has one unifying objective, which is simply to be the AI defining enterprise software company of the 21st century. IDC estimates there will be 2.2 billion AI agents in the world by 2030. Millions of those will be built on the ServiceNow platform. Whatever isn't built on our platform will be governed and secured by our AI control tower. ServiceNow is a build or buy winner. We'll win with the builders because they want ServiceNow for our data fabric, our agents, governance, and security. We'll win for buyers because they want best of breed AI native workflows and agents to reinvent

their status quo in IT, HR, CRM, app development and beyond. We have a pristine rule of 55 plus financial profile, a comprehensive integrated platform architecture. We're open to any cloud, any language model, any data source, any system integration. We're one of the most trusted companies in the world, according to Forbes. We have an award-winning culture with millions of talented applicants. You may have noticed that I recently extended my own commitment here to ServiceNow until 2030 and beyond. There's one reason I did this, overwhelming belief in this company. This is a $1 trillion company in the making. I can't fathom a better entry point for what ServiceNow is building. To those on this journey with us, we are grateful for your enduring support. To those who are waiting, we've given you every reason to believe the time is now. This is a one of one company. That's not speculation. It's a fact. Let's bring the ServiceNow story to life with customer examples. We closed a 1 million plus assist pack deal with a leading US consumer services company after customer service agents generated a 400% ROI. After a year of deployment, the customer needed eight times more assists as they transition customer support operations to predominantly automated interactions. This is minimizing operating costs, shortening support resolution times, and enhancing the overall customer experience. They are flipping the support model from 80% human-led, 20% automated to 80% automated and 20% human-led. In Q4, we closed a landmark seven-figure deal with a complex high-tech manufacturer involving an end-to-end takeout of a legacy CRM competitor. they turned to ServiceNow CPQ to solve their complex deal evaluations, replacing manual spreadsheets, and unsuccessful legacy tools. In combination with CSM, Workflow Data Fabric, Now Assist, and other products too, our customer trusted ServiceNow as their AI control tower for business reinvention. A leading European telecom provider, is building an AI-driven CRM solution for the telecom industry with ServiceNow. They consolidated seven internal systems using ServiceNow CRM, and they're going to modernize even further to sell, serve, and support its own customers. This is reducing costs by 30%, reducing cycle time from order to fulfillment by 25%, and resolving 20% more work orders on the first request. a leading Canadian real estate company selected ServiceNow CRM platform to integrate all aspects of their resident support and field operations with a unified data model. The customer leveraged ServiceNow to gain real-time operational visibility, optimize dispatch, and automate work order management. This drove efficiency gains that delivered more than 100% ROI. A global business services company, deployed ServiceNow agents for incident classification and resolution, resulting in initial time savings of 13% for agents involved. The company is now processing hundreds of thousands of AI assists monthly on ServiceNow. An international leader in commercial real estate services deployed ServiceNow agents to automate email triage across their service desk, reducing mean time to resolution from two days to minutes, freeing agents for higher value work. A U.S. insurance company uses ServiceNow out-of-the-box agents to automate email-to-case conversion, achieving 91% accuracy and saving agents up to 12% of their time annually through an AI-first mindset. A diversified industrial multinational conglomerate deployed ServiceNow agents to automate help desk triage. These ServiceNow agents now handle over 90% of incoming requests. They've reduced triage time by 50% with 99% routing accuracy. This saves tens of thousands of hours annually. One of Europe's largest drugstore

chains use ServiceNow to transform its customer service cutting the time it took customers to receive support from nine minutes to 30 seconds and resolving customer issues with 98% accuracy. ServiceNow was selected by a large US county in a seven figure deal to replace the legacy, highly customized IT platform. They are supporting election operations by consolidating manual fragmented processes into our AI platform, leveraging native ITSM asset management, custom app development, and offline mobile capabilities. A large U.S. agency is using ServiceNow as the foundation of its IT modernization strategy. They're consolidating all IT services on ServiceNow, replacing more than 40 disparate tools currently in use. And looking ahead, they plan to use ServiceNow agentic AI capabilities to expand self-service and reduce operational overhead. Everyone talks about AI. We deliver business outcomes with AI. Last quarter, we announced a collaboration with FedEx DataWorks. While supply chains are more critical than ever, many companies still lack the predictive intelligence needed to coordinate today's complex value chains. We're combining ServiceNow's orchestration with FedEx's unique data DNA to provide procurement leaders with trusted insights in our source-to-pay solution. FedEx is also expanding beyond just source-to-pay. Its partnership will leverage the capabilities of the ServiceNow AI platform. Other great brands like Adobe, Accenture, EY, Fiserv, Siemens, Panasonic Avionics, and VT have all saved millions and millions, and they're using ServiceNow to grow their business. And we could go on and on. So let's talk a little bit about our great partners. Our ecosystem includes all three hyperscalers. They're all great companies. The language model companies, they're excellent too. Systems integrators, PurePlay ServiceNow partners, and independent software vendors. They're all building their futures on our AI platform. Think about this, ServiceNow and Microsoft have announced a deep AI integration, connecting co-pilots, agents, and data across Microsoft 365 and the ServiceNow AI platform to deliver seamless orchestration, governance, and enterprise-wide automation. The collaboration introduces Microsoft's Agent 365 integration, and it's anchored by ServiceNow's AI control tower. And it sets a whole new standard for enterprise AI interoperability, moving organizations from isolated AI experiences to autonomous AI workflows that drive efficiency and return on investment. ServiceNow and Anthropic have announced an expanded partnership to integrate cloud models more deeply into the ServiceNow AI platform. Through the collaboration ServiceNow is also bringing leading cloud models into ServiceNow to support secure, compliant AI across numerous industries. ServiceNow also announced a new collaboration with OpenAI to enable direct customer access to frontier model capabilities, custom ServiceNow AI solutions, and increase speed with no bespoke development required. Under this agreement, Open AI models will be a preferred intelligence capability for several agentic use cases offered to ServiceNow Enterprise customers. ServiceNow and NTT Data have expanded our strategic partnership to accelerate AI-led transformation for global enterprises, designating NTT Data as a strategic AI delivery partner. This includes co-developing and co-selling AI-powered solutions. Also, scaling NTT data's use of ServiceNow's AI platform. And together, we will operationalize AI responsibly, advancing new deployment models and embedding AI engineering expertise into transformation projects. Again, these are just a few of the many strategic partnerships. Before I wrap up,

let me give you a few more facts about our strategic expansion in AI security. As you know, we're growing through the regulatory clearance process, but we can say this. The combination of VESA and ARMIS with ServiceNow AI Platform will create something that is mission critical for enterprise AI. In the agentic era, if companies want to scale AI, trust in governance that span any cloud, Any asset, any AI system, and any device, these are all non-negotiable. So here's the problem enterprises face today. AI adoption is expanding the attack surface exponentially. Companies are deploying autonomous agents across their operations, but they're only able to see a small fraction of their digital estate. Traditional security tools do not address connected assets, especially unmanaged IoT devices, operational technology, and medical equipment. To make matters worse, leaders have no control over who and what can access critical systems and data, and they have no coordinated way to remediate vulnerabilities before they become breaches. And here's where ServiceNow's strategic vision comes into play. First, Armis will solve the visibility problem. Armis provides real-time agentless discovery and classification of every asset across the entire enterprise. IT, OT, IoT, medical devices, industrial controllers, and even shadow IT that bypasses procurement. This creates a continuously updated map of the enterprise environment. Armis is already protecting over 40% of the Fortune 100, precisely because they've cracked the visibility challenge. Second, VESA will solve the identity governance problem through its patented access graph technology. VESA maps access relationships and privileges across humans, machines, and AI agents in real time. This is critical because AI agents need dynamic, context-aware permissions. An agent working for a senior manager needs different access than the same agent working for a junior employee, and those permissions must be governed continuously, not set once and forgotten. CISOs have told us this is the bottleneck preventing AI agent deployment at scale. When both of these are integrated into ServiceNow's AI platform and AI control tower, this is how orchestration goes from theory to reality. When we combine Armis asset visibility with VESA's identity governance and ServiceNow's business context CMDB, which maps every asset to the services, processes, and teams it supports, you create something highly differentiated, a unified end-to-end security exposure and operation stack that can see, decide, and act across the entire technology footprint. Let's make this concrete for you. Armis discovers a vulnerability on an unmanaged IoT device in a manufacturing plant. That exposure insight automatically flows into ServiceNow's AI control tower. Now you understand which production line depends on that device, which team owns it, and what the financial impact of downtime would be. Simultaneously, VESA maps who and what has access to that device and related systems. ServiceNow then automatically prioritizes the risk based on business impact, triggers the appropriate remediation workflow, routes it to the right team with the right permissions, and tracks resolution all before an incident has a chance to occur. This is autonomous, proactive cybersecurity, not alerts that sit in a queue, not manual coordination across fragmented tools, not security theater either. This is intelligent action at machine speed governed by unified policies executed through an automated workflow machine. We just closed the largest quarter ever for OT in Q4. Customers recognize the expanded security capabilities these acquisitions will unlock, and they are encouraging us to go

even deeper and broader with them on OT. Our customers are very excited, and so are we. In closing, ServiceNow is exactly where the world needs it to be. the AI control tower for business reinvention, situated in the core of the enterprise in the core of enterprise AI with the capabilities to automate, orchestrate, and integrate any business process. With Moveworks from ServiceNow, we put AI to work for people, a front door to the agentic enterprise for every single employee in the world. We have the workflow data fabric to map the right information to the right workflows. We have the most innovative technology operating system in the world, the only one capable of delivering fully autonomous IT. We have the customer demand to deliver AI native solutions for the employee experience and the customer experience to modernize expensive legacy systems. With Vesa and Armis, will have the most comprehensive approach to secure the agentic enterprise. There's only two measurements that matter in enterprise technology. Is there completeness of vision? Is there proven capability to execute? On both counts, it's an enthusiastic yes for ServiceNow. And two things can be true at the same time. You can have fast growing new market participants building exciting use cases, especially for personal productivity at work. You can also have fast growing market leaders at the core of enterprise grade AI. Many postmortems have been written in the enterprise over the years. Most of them, ironically, have been dead wrong. The great Lou Gerstner once said, Changing business processes in a company is like setting your hair on fire and then using a hammer to put it out. This is hard work. It requires deep domain expertise, industrial-grade technology, and a global distribution engine to reach global enterprises and meet the customer where they are. Operating plans exist to organize a business. Dreams exist to unleash the imagination. Unprecedented fast time to value for our customers. 30 billion plus in revenue. Consistent expansion of free cash flow. Best in class profitable growth. One trillion market cap. Our dreams for ServiceNow are clear. And no operating plan will hold us back. The world works with ServiceNow isn't a tagline. It's a hard line. If you have any doubts that we're building to greatness, I look forward to your questions later in the call. Thank you for your time and attention. I'll hand it over to our president and chief financial officer, Gina Mastantuno. Gina, over to you.

Gina Mastantuno
President and Chief Financial Officer

Thank you, Bill. Q4 was another strong quarter, concluding a remarkable year of AI innovation. Net new ACV growth accelerated both quarter over quarter and year over year. We exceeded our top-line growth and operating margin guidance metrics, showcasing our team's consistent execution and unwavering strength of our business. Emerging product areas, including Now Assist, Workflow Data Fabric, Raptor, and CPQ, all outperformed in the quarter. Furthermore, AI is also driving significant cost efficiencies that have resulted in full-year profitability beats on top of our recently raised guidance. Turning to our results, Q4 subscription revenues were 3.466 billion, going 19.5% year-over-year in constant currency, exceeding the high end of our guidance range by 150 basis points. RPO ended the quarter at approximately 28.2 billion, representing 22.5% year-over-year constant currency growth. Current RPO was 12.85 billion,

representing 21% year-over-year constant currency growth, a 200 basis point beat versus our guidance. BlueWorks contributed one point to both RPO and CRPO. From an industry perspective, transportation and logistics continued to lead the way, with Net New ACV growing over 80% year-over-year. Business and consumer services also posted impressive growth, surpassing 70% year-over-year, followed by financial services growing over 40% year-over-year. Telcom, media, and technology also delivered strong growth in the quarter. We achieved a robust 98% renewal rate in Q4, underscoring the importance and value that customers place in the ServiceNow AI platform. We closed 244 deals greater than a million in net new ACB in the quarter, including nine with new logos. Our strategic focus on landing the right new customers continues to deliver results, as new logo NetNew ACV in EMEA and Japan were up nearly 30% year over year. We accelerated NetNew customer ads in 2025 to end the year with over 8,800 customers, including 603 generating over 5 million in ACV. Even more impressive, the number of customers contributing 20 million or more rose over 30% year over year. These trends reflect the resilience strength in our core accompanied by increasing momentum in our emerging growth sectors. Our technology workflows net new ACV growth accelerated in Q4, both quarter over quarter and year over year, as customers embrace autonomous IT to accelerate ROI with integrated workflows, take out costs, and improve operational resilience. ServiceOps was in 16 of our top 20 deals, highlighted by a standout performance in ITAM, which grew net new ACV nearly 50% year over year. ITAM was in 17 of our top 20 deals. Security and risk was in 19 of our top 20 deals and drove nearly 40% net new ACV growth year over year. Core business workflows were in 13 of our top 20 deals. CRM was in 16 and boasts on net new ACV accelerate sequentially. As Bill mentioned, CPQ had a phenomenal quarter. Logic is a perfect example of our M&A strategy creating demonstrable ROI. We identified an adjacent opportunity moved decisively, integrated flawlessly, and we're already seeing outsized returns. Go-to-market synergies have unlocked significant opportunities as Logic's customer count as part of ServiceNow has nearly quadrupled year over year in Q4. Finally, creator workflows were in 19 of our top 20 deals with an impressive 32 deals over a million in ACV. Moving to our success in driving broader AI adoption, NowAssist continues to outperform all expectations, surpassing $600 million in ACV and tracking well towards our billion-dollar-plus target for 2026. In Q4, deals greater than a million nearly tripled quarter over quarter, and customers spending more than a million grew over 40%. The number of deals that included five or more NowAssist products increased by over 10x year over year, as enterprises expand their agentic AI capabilities across their deployments. We've also overachieved our initial AI control tower targets by more than four acts for 2025. As we develop prescriptive roadmaps for agentic deployments, we are seeing the pace of AI monetization accelerate. For example, our FDA FDEs engaged with the leading American fast food chains to enable a path to scaling agentic AI across their customer service operations. As a result, they expanded their assist entitlements by 13X upon contract renewal in Q4, based upon anticipated value and usage. It's stories like these that have driven customer service now assist deals to see over 70% upsell expansion at renewal in Q4. Turning to profitability, non-GAAP operating margin was 31%, 100 basis points above our guidance, driven by the top line outperformance, up X efficiencies, and disciplined spend

management. Our free cash flow margin was 57%, up 950 basis points year-over-year, driven by strong collections, lower capex, and significant operating leverage. The full year 2025 operating margin was 31%, up 150 basis points year-over-year. Free cash flow margin was 35%, up 350 basis points year-over-year, and 100 basis points above our guidance, which I would remind you we raised by 200 basis points just last quarter. Total free cash flow for 2025 was a robust 4.6 billion, up 34% year-over-year. We ended 2025 with a healthy balance sheet of over 10 billion in cash and investments. In Q4, we bought back approximately 3.6 million shares after adjusting for the stock split as part of our share repurchase program. As of the end of the quarter, we had approximately 1.4 billion of authorization remaining. Given our strong cash position, our strategy of managing the impact of dilution, and our confidence in the business, We announced today that the Board of Directors authorized the purchase of up to an additional $5 billion of common stock under this program. With the recent pullback in our stock, we also plan to launch a $2 billion accelerated share repurchase program. Together, these results continue to demonstrate our ability to drive a strong balance of world-class growth, profitability, and shareholder value. Moving to our outlook. For 2026, we expect subscription revenues between $15.53 billion and $15.57 billion, representing 19.5% to 20% year-over-year growth on a constant currency basis. This includes one-point contributions from Mootworks. We expect subscription growth margin of 82%, reflecting incremental data center investments related to public cloud, geo-expansion, and AI. We expect an operating margin of 32% of 100 basis points year-over-year driven by OpEx savings enabled by AI efficiencies. We expect free cash flow margin of 36% of 100 basis points year-over-year and 350 basis points ahead of our target that we gave at Financial Analyst Day in May. This is driven by significant operational leverage and further opportunities to reduce CapEx. Finally, we expect gap-diluted weighted average outstanding shares of $1.05 billion. For Q1, we expect subscription revenues between $3.650 billion and $3.655 billion, representing 18.5% to 19% year-over-year growth on a constant currency basis. This includes a one-point contribution from MoveWorks and a one-and-a-half-point headwind with a mixed shift of on-prem to hosted revenue, partially driven by the strong adoption of our hyperscaler offerings. We expect CRPO growth of 20% on a constant currency basis. This also includes a one-point contribution from Lubor. We expect an operating margin of 31.5% and we expect 1.05 billion gaps diluted weighted average outstanding shares for the quarter. In conclusion, 2025 has been an incredible year and we're just getting started. The world is in the midst of an intelligent super cycle. And ServiceNow is capitalizing on this decisive moment in technology where the strongest companies leverage rapid change to extend their market leadership. Our recent strategic acquisitions bring us incredible talent and create enormous new market opportunities while solidifying our ability to put AI to work securely across every corner of the enterprise. As we integrate these best-in-class capabilities into the ServiceNow AI platform, We're layering on advantages that position us for even stronger, more durable growth over the long term. Our organic growth engine remains fully intact. Our strategy, complete with a disciplined focus on margin expansion, remains unchanged. But the ambition is larger, and our confidence in sustained high organic growth has never been greater. Finally, Bill and I want to express our deepest gratitude to our

employees around the world Your relentless innovation and unwavering commitment to our customers are the foundation of everything we've accomplished. With that, I'll open it up for Q&A.

Darren Yip
Senior Vice President of Investor Relations and Market Insights

Operator, did we lose you?

Operator
Conference Operator

At this time, I would like to remind everyone in order to ask a question, press star, then the number one on your telephone keypad. Again, we do ask you limit yourself to one question. Then your first question comes from the line of Alec Zukin. Please go ahead.

Alec Zukin
Analyst

Hey, guys. Thanks for a really inspired and inspiring message and congrats on a very strong end to the year. Maybe, Bill, first one for you, just give us a flavor, a little bit of the tailwinds and headwinds that you're seeing, both in the demand environment from a budgetary perspective, and also kind of how you're thinking about the monetization of AI in the product set, particularly the consumption component to play out as we get through the year. You've already clearly cleared the $500 million hurdle that you set for yourself, well on your way to $1 billion. How should we think about that layering into the numbers? And then I've got a quick follow up.

Bill McDermott
Chairman and Chief Executive Officer

Well, thank you very much, Alex, for your very nice remarks and also giving me a chance to explain how it's going out there in the marketplace. You know, we have excellent hyperscalers in the marketplace. They're all great companies. We have exciting language models. We have good data lakes that are out there too. And we have, as you know, six plus decades of legacy systems that have really burdened these companies quite substantially. But at the same time, they've customized them, they've invested heavily in them, and they're not going to rip them out, at least the ones that matter. But what they are doing now is they are looking for platforms that really do matter. And they are recognizing that MIT study that said basically 95% of those projects out there weren't delivering a positive ROI. They're recognizing clearly that you can have little pet projects, that agentic AI is not just a revolution, it's the only way to survive. It's the only

way to grow. And so now they're looking for a platform that spans functions and goes across the business process frontier of their enterprise. As I've said repeatedly, it could be recruit to retire, it could be order to cash, procure to pay, design to build. There are many of these processes, but there's only one company that actually has a platform that's a cross-functional platform. And so our cooperation with all of them has led many of our customers to simply say, we love it, we want to expand with you, which they're doing. But at the same time, they're looking to retire tools that don't matter. and they're looking to thoroughly examine functional platforms because if you could do cross-functional AI work to reinvent the process on the fly and it's autonomous, why do you want to get drugged down by these little toys or large systems that perhaps have built up over the years with many different instances And people are swivel-chairing between 33 apps a day. So it's the radical simplification that comes with AI. And one thing I wanted to double down on is you can see our user count is growing. You can see it's growing in harmony with our revenue. And you can also see that our margins are growing. So we're really the winning hand for companies that want the consolidator. And they want a consolidator now. That's different than it was six years ago. When I told you we're the platform of platforms and we work with everybody. We still do. But we have to respond to what the customer wants. And they want cost out. They want autonomy in. And they want margin improved and growth. And we're giving it to them. In terms of the buying cycle, what's so cool about this buying cycle is if you have an ROI and you're fast to value, which we are, we're the fastest one, you don't actually need a budget to get approval on your deal. You just need an executive that wants to win, and the CEOs are investing heavily. Our pipelines have never been better. Let me be clear, never been better. And don't forget, we gave you those numbers without actually a full 40-day cycle in approval of deals in public sector because of the government shutdown. So we've got a lot going on there, and we've got a lot going on across industries and across all sectors. segments of a company. And finally, security grew 100% year over year. So our customers are loving on the digital front door from Moveworks, and we're loving having Moveworks, but they're really excited about Armus and Vesa for all the reasons I stated in kind of the keynote here. So you should feel really good about ServiceNow. We didn't have to work hard to give you a great guide. It's there.

Gina Mastantuno
President and Chief Financial Officer

And then do you want to add?

Amit Zaveri
President, Chief Product Officer, and Chief Operating Officer

Let me add things about the monetization of AI, Alex. So we already, of course, have been selling this hybrid pricing model, and we're already seeing a lot of customers now add assist packs. We shared in the earnings already that we had

many customers with average deal size of 500K and some in multi-seven-figure range. renewing and adding more SISPACs when they're running out of tokens. So that adoption and that consumption is starting to happen very, very fast, especially now that they're using agentic use cases and workflows to run the business. And once they start using one, they start using many more, and that's where the SISPACs are starting to come in. So that consumption part has been adding to our subscription revenue quickly as well.

Bill McDermott
Chairman and Chief Executive Officer

And the key to that, building on what Ahmed said, which is so important, This is where cross-functional also comes in so heavily because these deals, in many cases, have seven or more ServiceNow products built into them. So we're not confined by we can make one buyer in the enterprise happy. We're actually making a team that reports to the CEO happy. So the strategic relevance is elevated considerably. And these assists, we've been telling you now for a year that the day was coming where the hockey stick would form around the reload on those tokens. It's happening.

Alec Zukin
Analyst

Again, out of respect to my colleagues, I'll leave it there, but congratulations and no further questions.

Operator
Conference Operator

Thank you very much, Alex. Your next question comes from the line of Keith Weiss with Morgan Stanley. Please go ahead.

Sanjay Singh
Analyst at Morgan Stanley

Yeah, hi, this is Sanjay Singh for Keith Weiss, and congrats on proving out the durability of business throughout the year. I want to follow up on some of the themes in Q3, particularly the federal business. So give me some color on how Fed will perform via your expectations. I know we had a government shutdown to deal with. You know, there's some large deals in the pipeline. Just how that sort of shaped up in Q4 and what the prospects are looking like for the balance of the year in 2026 on the Fed side.

Bill McDermott
Chairman and Chief Executive Officer

Thank you. Yeah, well, what's really great about the Fed business is even with the shutdown and less days to do business, you know, you have to comply consistently. with the procurement procedures and as you know 40 days is a minimum standard we were still able to get very very nice deals and our one gov offering has been really well received so we're seeing a very big pipeline in public sector what didn't happen in 2025 is only good news for 2026 And we're also seeing that we have significant traction that's now developed in state and local. The public sector more broadly is growing, not just U.S. Fed, which is great, but also state and local. And I do want to mention we shouldn't forget the global government business because that was up 80% year over year. So the global government business is on fire across Europe, Middle East, and obviously Asia. So feel really, really good that the brand is resonating and what we're doing in the U.S. is now translating beautifully to the rest of the world. We're in great shape.

Operator
Conference Operator

Your next question comes from the line of Gabriella Borges with Goldman Sachs. Please go ahead.

Gabriella Borges
Analyst at Goldman Sachs

Hi, good afternoon. Thank you. My question is for Gina on the gross margin outlook. Tell us a little bit about how you think about the puts and takes to gross margin, particularly around some of the temporary headwinds you have before monetization on the consumption revenue part of the business. How much of the gross margin headwind from LLM costs, inference and API calls, how much of that is temporary versus structural? Thanks so much.

Gina Mastantuno
President and Chief Financial Officer

Thanks, Gabriella, for the question. So listen, I'm really excited about the overall guide from a margin perspective. The fact that despite some headwinds in gross margins, we're able to increase operating margin guidance by 100 basis points and free cash flow by another 100 after increasing by 350 this year is pretty remarkable. I'd say on the gross margin headwind, the bulk of it is actually our very strategic focus on moving more towards hyperscalers that have slightly lower gross margins at this stage of the game. given our capacity there with them than our internal. Now, those margins are margin business you'd want me to take every single day, and we're offsetting Eddie Hedwin down below the line with efficiencies. As we continue to scale up those hyperscaler deals, margins

get even better. You can count on ServiceNow to ensure that you will see not only best-in-class top-line growth of 20% plus, but also continued margin accretion at the bottom line, both from an operating margin and free capital perspective.

Gabriella Borges
Analyst at Goldman Sachs

Very good. Thanks for all the call.

Operator
Conference Operator

Thank you. Your next question comes from Lloyd of Samad Samana with Jefferies. Please go ahead.

Samad Samana
Analyst at Jefferies

Hi, good evening. The execution scale continues to be very impressive, so congrats on that. Bill, maybe a question for you. I appreciate you digging into the M&A, given it's been such a big focus. You made a point about there may not be more to expand to Tim, at least on the security side via M&A, so should we take that as maybe we won't see Armis-sized deals going forward, or just maybe help us get some clarity on how we should think about M&A in 2026, and then Gina, if you could give us any details on Armis' financials. I know it hasn't closed yet, but it would be helpful just to think about, you know, how fast it's growing, size, scale, et cetera. Thank you both so much.

Bill McDermott
Chairman and Chief Executive Officer

Yeah, thank you very much, Samad, for the question. First of all, I wanted to underscore what both Gina and I both said. We're an organic growth company. These were very select M&A moves for the talent, the technology, and the moment to capture $125 billion And this is also where our customers wanted us to be. As I said, our security and operations portfolio right now is doubling year over year, and they wanted us to do more. I wanted to make it very clear to the investors, I hear you, and we did not and never have bought an asset like many others have, and I know that's probably why it's on your mind, because we needed the revenue. What we needed is the innovation and the expanded growth opportunity of a great TAM and a customer base that's waiting for us. So I want to knock that one out of the park based on our great 2025 results and our extraordinary guide. And as it relates to future M&A, we do not have a large-scale M&A on the roadmap. What happened, and I felt for you all, we had

MoveWorks. It took nine months to close. We no sooner closed MoveWorks, which we love MoveWorks. We love Bob and the founders of the company, and it's a great culture, great fit. We love them. Amit and I were no sooner celebrating in their campus with their spouses and everything than we also closed on that and then had Armis and Vesa come to you within like a few days. So probably it was a little bit what's going on over there at ServiceNow, and I noticed that we lost about $10 billion in market cap on that because of the worry. So now the worry is gone. You can give us back the market cap, and no, we're not going after anything large. We now have them in the family, and we're going to grow them like we do everything else. And I would want to make one thing clear, and I'll give Ahmed a chance to do this. This is really important. We chose assets also that were heavily integrated with ServiceNow already. So this isn't one of those, how's the integration going to go? It already went. So maybe Ahmed can give you a little call around that.

Amit Zaveri
President, Chief Product Officer, and Chief Operating Officer

Thanks, Bill. So the way we've been doing clearly, we have this one platform philosophy, and we continue to invest that way. What Armis and Vesa have been doing, we've been integrating those products using a technology called Universal Agentic Network, which is built on MCP and worked for Data Fabric. making it easy for us to really have processes, as well as a lot of the domain expertise which come from Vesa and Armis, make it integrated into a lot of the capabilities we provide in our one platform. Over time, some of the capabilities which we have in our one platform will be available through Armis and Vesa, but they are right now completely integrated in a process-oriented way and allowing customers to get advantage of those integrations straight away without having to wait, replatform, or do things which are not going to be more architecturally correct. So, architecturally, we've been very thoughtful about how we bring all these technologies while getting customer adoption quickly as well as value created for customers. And this UAN is a very modern way of integrating and providing a technical superior way of integrating and bringing products together. So, this will be very straightforward for our customers, and there's no real time loss when we bring all these capabilities into one platform mindset.

Gina Mastantuno
President and Chief Financial Officer

And then lastly, Samad, on your question on the impact. So we expect to close RMIS at this point second half, early second half of this year. And based on that timing and estimated revenue adjustments that always happen in acquisitions, we expect subscription revenue contribution to be about a point, so 100 basis points in 26. We expect potentially up to maybe 50 bps headwind to operating margin in 26. up to 50, so not that large. And given our strong organic operating leverage, we expect to observe any headwinds to that dilution in 27 and continue delivering operating margin expansion. And so we're very committed in

our MAM&A strategy to continue to deliver expansion both on the operating margin and free cash flow perspective. We'll obviously provide more details around all of that at Financial Analyst Day as we get closer to close. But, again, not that big of an impact either on the top line or bottom line. It's really about the incredible capabilities and the addressable market that we're opening up for us to go after.

Samad Samana
Analyst at Jefferies

Great. Thank you all for the thoughtful answers. Have a good night. Thank you so much. Thank you.

Operator
Conference Operator

Your next question comes from the line of Peter Reed with Alliance Bernstein. Please go ahead.

Peter Reed
Analyst at AllianceBernstein

Thank you, and congrats on a really strong finish to the year and guidance for the upcoming year. You know, I think one of the exciting announcements that have been coming out are your partnerships with OpenAI and Anthropic, you know, one obviously today and one a few days ago. And I couldn't help but notice in reading those, you know, it looks like both of them are making some investments in helping with your customers and getting traction and scaling. Maybe you can share a little bit more about those partnerships. And obviously now with multiple of them, there's also kind of the question of decisions for customers, like which one would you focus on? Like, how do you think through which partner to pull in when? And how are the partners investing and kind of helping you get even more, you know, out of the customer opportunity and really driving the business faster?

Amit Zaveri
President, Chief Product Officer, and Chief Operating Officer

Peter, thanks for the question. So, as you know, we've been always working with many of the hyperscalers as well as the large language model providers. And we have the open ecosystem as a mindset. With the large language providers like OpenAI, Anthropic, as well as Google and Gemini, we allow customer choice. We have prompt engineered and made sure that those models work with our products, and customers don't really have to worry about what's underneath the covers, what LLMs we are using. They can choose if

they want to and use any one which we provide out of the box. What we have done over time now is with each of these providers, there are some unique capabilities we think we can take to market. So, for example, OpenAI, what we're doing around voice AI and speech-to-speech, real-time, multimodal, as well as multilingual capabilities. So, our CRM products can now have voice capabilities with OpenAI as a preferred model so that we can have much more differentiated offering using what we know from domain's perspective as a context and adding the OpenAI speech capabilities into our products. Similarly, with Anthropic, they have a very good coding agent. A build agent, which is a white coding tool, allows any customer to build any workflow on top of ServiceNow. And we use Cloud as the underlying technology to generate some of the code, and then we provide the context, the security, the governance on top of that using build agent to run those workflows on top of ServiceNow as well. So we find these unique use cases which might be useful with one of these individual providers, and they want to take those products to go to market with us. We, of course, collaborate with them and tell them about what the issues with any model may be, what kind of efficiencies we can get out of it, how can we optimize it so our customers get value. But we still keep this idea of openness and availability of default choices for customers so they can choose anything they want to. And then we'll provide some unique use cases which will be done with individual providers like OpenAI and Entropic where they have interest to go jointly to market and build those unique solutions as well. So customer guidance is pretty straightforward. They can choose any of the models. Everything will work. But there might be some of these individual use cases we believe could really be turbocharged with some of these providers. And typically in the infrastructure, the model providers are providing 5%, 10% of value, and 90% of IP has been built by ServiceNow to really provide that context-driven enterprise use cases out of the box for customers to get value instantly.

Bill McDermott
Chairman and Chief Executive Officer

And, Peter, because your question is so strategic and so important, I'd just like to build on this excellent answer. We have to recognize the harmony between and the synchronicity between these models and ServiceNow. And the idea that these models are eating enterprise software may be true in some cases, but obviously it's not true in our case. They're actually leaning into us because of the innovation on our platform and the broad reach of our go-to-market global engine. So these are very enticing and interesting factors in their decision to team up with us. But it also really does manifest itself, I think, in something that Dario said when he said, obviously the co-founder of Anthropic, he said, a common error that enterprises make with AI is to treat it as a kind of bolt-on tool that you access now and then. But the way to get much better results is to make AI an integral part of how we get work done. And it has to be woven into the whole range of things workers do every day. That's where you actually start to see where these systems are adding value. And it's also why we're partnering with ServiceNow. So it's kind of like where the decisions in the business takes

place is in the workflow. And the models need that to have the business impact and really to be resolute with the C-suite of these corporations today. So I think that it's really a match made in heaven. I think it's going to be a great tailwind for our growth, and I hope that we help them grow too. So it's really a nice, nice thing, and I'm glad today we had a chance to clear it all up.

Peter Reed
Analyst at AllianceBernstein

Thank you.

Operator
Conference Operator

Thanks, Peter. Your next question comes from the line of Patrick Walravens with JMP Securities. Please go ahead.

Patrick Walravens
Analyst at JMP Securities

Oh, great. Thank you, and thanks. Let me add my congratulations and my appreciation of hitting the three bear cases up front. So, Bill, I was talking to a senior executive at a Fortune 500 company, and they really want to transform the enterprise using AI, but there's some sort of specific concerns holding them back, and there are four of them. I'm just going to reel them off really quick, and I'm sure you have these kinds of conversations all the time with customers, and I just wonder how you address them. Number one was, how do we monitor the agents in real time? Number two was, how do we have kill switches? Number three was, how do we have grading agents? And then number four was red gaming. So are those the kinds of things that come up all the time, or was this unusual, and how do you address them?

Amit Zaveri
President, Chief Product Officer, and Chief Operating Officer

No, Pat, I'll address those. I mean, no doubt every customer we speak to in enterprise are wondering how to adopt the AI, how to make it easy to manage and really have controls. And no doubt that questions come up every time in terms of what technology to use and do that very well. So the way we address it, the reason we launched AI Control Tower early last year and why it's getting so much traction is because we are addressing this thing head on, right? How do you manage and monitor agents real time? Not just our agents, but third-party agents in one system. It's really built on top of CMDB, so we can now access all the kind of assets, be it hardware, software, and AI agent assets in the same system. And then we can really give you full-time, real-time

monitoring, observability, as well as cost management, auditing, security in one place. And that allows you to do kill switches where you can now go and shut down any agent which is going rogue, prevent any kind of nefarious activities, as well as do red teaming and ensure you're making security as a prevalent and most important aspects of what you're doing before you go and deliver any AI agents. And that really has opened up a lot of customers' ability to now adopt agentic use cases. Because before they were worried about losing control, security, governance, and compliance. Now with AI Control Tower, we're able to give them that ability and remove that barrier out of the way. And that's where we saw this huge amount of new use cases emerge with customers starting to adopt things around incident management, triaging, and things like that very quickly because we can give you that real-time visibility and full control. So, these are real questions and things we've been addressing and has really worked out, and AI Control Tower has grown so fast for us because that takes on head-on as a heterogeneous product out there.

Bill McDermott
Chairman and Chief Executive Officer

And Patrick, one thing I would say as an example, I'll give you an example of a public sector entity, and the man himself who runs this particular entity has literally thousands and thousands of employees, nearly 100,000, and it's set up in three different divisions. What you're seeing a lot of now is they want to consolidate these divisions. They want to consolidate the action onto one platform because I keep going back to east to west, AI is a cross-functional sport. There's only one CMDB in the world that behaves like ServiceNOWs where they know where all the people are, all the places are, and all the things are on one platform. And then you apply the AI and all of our know-how that Ahmed just outlined, and they're running quickly. So he's got to make change fast. He doesn't have years. He has weeks and months. So we give him a business case to show them an incredible benefit on the ServiceNow platform. And then they looked at what we did with Armis and Vesa, and they said, we're all in. Please roadmap that into the thinking because I want to have one instance, I want to have one single view of my entire enterprise, and I'm going with ServiceNow. In that conversation, we were basically consolidating them out of about 479 legacy tools. And that's what's happening out there because AI is changing the game, but this is the consolidator platform.

Patrick Walravens
Analyst at JMP Securities

That's fantastic. Thank you for going on it. Thank you, Pat.

Operator
Conference Operator

Thanks, Pat.

Bill McDermott
Chairman and Chief Executive Officer

Thank you, Pat.

Operator
Conference Operator

Your next question comes from the line of Matt Hedberg with RBC Capital Markets. Please go ahead.

Matt Hedberg
Analyst at RBC Capital Markets

Great. Thanks for taking my question, guys, and congrats from me as well. Really strong results here. I guess for Bill or Amit, in an increasingly agentic world, it really does seem like now with CISPACs, are resonating with customers, and it's great to see the $600 million ACV number already. I guess, you know, while we're entering this period of hybrid pricing and paid seats are still growing strong, do you envision a time in the future when ServiceNow pivots completely away from seats to maybe consumption or some form of value-based pricing, for instance?

Amit Zaveri
President, Chief Product Officer, and Chief Operating Officer

Matt, maybe I'll give you my perspective, and, of course, Bill and Gina can add that. You know, we keep on thinking about what's the best way to give customer value and show them what they can get out of a product, right? So we keep on getting input from them in terms of what kind of pricing and packaging works for them. Typically what we've seen, customers do want flexibility, but they also want predictability. So without having some kind of guardrails and understanding how much they're going to spend and what they're going to get out of it, going to complete 100% consumption may be too early in some of the cases. So I think that the hybrid model has seemed to be resonating with my customers. They know what the envelope they have, what they will be consuming beyond that, how much it will cost them. And a lot of times customers even have come back and said, you know what, I have been using a lot more than I'm entitled to. I will just renew or do an expansion on the thing with another higher subscription. So it might not be just consumption-driven. So we just want to give that flexibility. There are some products we do do consumption only already, by the way, right? So we do things like storage or additional things you might want to use for capacity. We're doing that with some

tokens around workflow data fabric from integration perspective. So wherever it makes sense, we will do that. As we go more and more AI-native in terms of packaging, we want to continue still to make sure that we don't confuse our customers too much and make it so difficult for them to predict what they're going to spend that they can keep on staying on the sidelines. So we just sort of manage that very well.

Bill McDermott
Chairman and Chief Executive Officer

And Matt, just building on Ahmed here for a second, let me give you a real example. So Ahmed's 100% right that the customer wants predictability, which is why against some of the theories out there that there would be seat compression, which is why our active user base is growing 25%, okay? It's because they want that predictability. The other thing they want is with the ASSIST, when we sell a ProPlus version of this platform, we have contemplated all the puts and takes on their business innovation and what the ROI is going to be to get the sale in the first place. And so when they derive more value from the ASSIST that they have that comes with the ProPlus, they're happy to renew it. In fact, they're looking for more ways to use us. You never have a dissatisfied SOFR customer. when you've deployed the software and you have happy users. You have an eager customer that wants to expand. And that trend is really big in the AI world. And finally, we're so flexible because what we do is where the rubber hits the road. We're delivering the ROI and we know it. So, I'll give you one example where we replaced the legacy CRM system. By the way, it's not the one I referenced in the script. And the customer saved $682 million. And we would be very happy to take a percentage of that savings and give it to our great shareholders. But the customer will quickly pull back and say, no, no, I like the predictability of the seats. I'm good with that. I'm good with the assist. Let's keep that going. And it's so strong, these business cases. that we now have large FIs that are actually underwriting the savings on ServiceNow, underwriting it and guaranteeing it to the customer. Just think about the swagger we can walk into a C-level meeting with knowing that, sharing the logos and the examples. So no matter where the customer needs us to be, if they'd rather split the profits with us, we're open for business.

Operator
Conference Operator

We have time for one more question. And our final question comes from the line of Brian Schwartz with Oppenheimer. Please go ahead.

Brian Schwartz
Analyst at Oppenheimer

Yeah, hi. Thanks for taking my question this afternoon, squeezing me in. I'm not sure if this is for Bill or Ahmed. It's on the topic of the mega LLM provider partnerships. Bill, in your introductory comments, you're clearly making it clear you view these Anthropix Open AI as more complementary to ServiceNow's product set. than as competitors. I guess the question I wanted to ask you or Amit, if we think about the percentage of AI inferencing and training workloads that are gonna run on the platform in 2026, how do you think that mix would break out between those workloads running on ServiceNow's LLMs versus those third-party foundation models? Thanks.

Amit Zaveri
President, Chief Product Officer, and Chief Operating Officer

Yeah, Brian, I think, as I said, we definitely want to make sure customers have choice, and they can use any of those foundational models as well as now LLM. In many cases, we've seen customers may end up using frontier models because some of the use cases might make sense with the frontier models. our inferencing as part of the overall workload is still very low as percentage of cost or usage-wise, right? As they use tokens, we have a lot of other works we do on top of the inferencing part of it, which is really the whole context data management, the integration, understanding the particular workflow required for a use case they want to go and deliver on it. So that's really where the most of power goes in. And I would say in the long term, I would see more of the frontier models as the inferencing models versus our now LLM. But there's sovereign requirements, private data center requirements, things customers want to deploy in like on-prem, but all these models don't work. And that's where we would probably still continue using a lot of our third-party, our own now LLM as well. So we just want to make sure we have choices and flexibility and let customers really choose it out. And from us, the cost perspective doesn't matter really. Thank you.

Operator
Conference Operator

Ladies and gentlemen that concludes today's call. Thank you all for joining. You may now disconnect.

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